Rifo

Sustainability Policy

RIFO SRL

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The Purpose of Our Sustainability Policy

From a business idea driven by the need to make the fashion world more responsible and, above all, sustainable, Rifò – Circular Fashion Made in Italy – was born in July 2018.

This document aims to make transparent the company's priorities regarding sustainability along our entire supply chain. This Sustainability Policy is also intended to identify the roles and responsibilities assigned to the various actors, that is, those whose focus is on identifying, monitoring, and measuring the key sustainability topics, along with the related opportunities and risks.

Internal and External References

The Sustainability Policy is written in accordance with our Code of Ethics, our Risk Management Policy in ESG matters, and the Code of Conduct we ask our suppliers to sign. It is also aligned with the policies, procedures, directives, and provisions defined at the local, national, and international level connected to the areas covered in this document.

This document shares the strategic vision outlined by the United Nations (UN) with the 2030 Agenda for Sustainable Development. Specifically, Rifò contributes to achieving the following Sustainable Development Goals (SDGs): Gender equality (5); Decent work and economic growth (8); Industry, innovation and infrastructure (9); Reduce Inequalities (10); Sustainable cities and communities (11); Responsible consumption and production (12); Climate Action (13).

Sustainability Governance

Since February 2023, Rifò's team has included the role of Sustainable Innovation Specialist. This position is responsible for keeping the connection between tradition and innovation alive, safeguarding Rifò's values and promoting its circular activities.

The responsibilities associated with this role include:

- Drafting the Sustainability Report, published annually;
- Collecting and verifying certifications submitted by collaborators;
- Declaring environmental impacts from suppliers;
- Monitoring working conditions of all actors in the supply chain;
- Promoting and disseminating Rifò's Circular Services;
- Managing the Circular Services;
- Controlling the results of the Circular Services.

Given Rifò's company-wide commitment to sustainability, all business functions contribute to identifying and developing sustainability factors. Everyone is responsible for applying these factors to their own activities, as well as for any related risks and opportunities. The Sustainable Innovation Specialist collaborates with each of their colleagues, guiding and supporting operations according to the principles of sustainability embraced by the corporate culture.

Our Values

Rifò is built on three solid pillars—the values that guide every internal business activity. Specifically, these are:

- Quality, because we want our garments to last over time, and to ensure this we follow every stage of production, relying on artisans and small local businesses;
- Sustainability, because the regenerated fibers at the heart of our collections have a lower environmental impact, as does local production and our choice to produce only what is needed through a pre-order model;
- Responsibility, because Rifò aims to have a positive impact not only on the environment but also on society. For every purchase on our website, we donate €2 to Nei Nostri Panni, a social impact project that combines social inclusion with the preservation of traditional crafts. Together with other partners and local businesses, we fund paid training in the textile sector for people in vulnerable situations.

Our Priorities

Sustainability is central to every business activity undertaken by Rifò. This approach is reflected in the company's core business objectives, which will be described in the next paragraph.

In particular, we have aimed to identify and make our priorities even more transparent—i.e., the areas where our efforts are most concentrated. Please note that priorities may change and evolve over time, and therefore those listed below are in line with Rifò's current direction.

Our current priorities are:

- The development of the circular service, With the extension to also collect knitwear made at least of 95% cotton by 2025, with the aim of inserting them into the regeneration chain or the second-hand market.
  The project involves collecting used garments to reintroduce them into the economy, either through second-hand clothing or, if their condition does not allow for reuse, through the regeneration chain which will transform them into recycled yarn—our so-called Materia Prima Seconda (MPS).

  This project not only aims to extend the life cycle of delivered garments, but also seeks to raise awareness among citizens. We want to emphasize the need for deeper reflection both at the time of purchase and at the time of disposal: not all garments can be recycled, and not all reuse and regeneration supply chains are transparent.

- One of our mantras is to extend the life of every product: alongside the take-back programme and recycling, we're also working on reuse and repair. By 2025, we'll launch a resale platform where our community can give a second life to their Rifò garments. And when it comes to repairs, we've opened up our service to sweaters that aren't from Rifò too. We believe in keeping the tradition of mending alive, so that a well-loved sweater can last as long as possible.

- Supply chain transparency is another of Rifò's key priorities. Not only is the company interested in making its operations visible and traceable to adapt and comply with national and international standards, it also wants to highlight its social responsibility to consumers and partners.
  In this regard, Rifò invests in cutting-edge projects that ensure total and secure traceability for both its production and reuse/recycling supply chains.

  In the first case, this commitment is demonstrated by a project in collaboration with BCome, through which we have retraced and certified the length, type, and impact of our production supply chain for 100 of Rifò's best-selling products.

  In the second case, Rifò has conducted in-depth market analysis, focusing on both large and small local enterprises. Moreover, we will continue to work on implementing tools such as the Digital Product Passport and blockchain-based solutions to ensure end-to-end traceability.

- The further reduction of consumption associated with Rifò's production is certainly one of our priorities. Since the production of our garments is fully outsourced (except for the design phase, which is carried out internally), the company's efforts are not limited to reducing internal water and energy use, but also aim to raise awareness among all supply chain actors on this topic.
  Our goal is to monitor and track the consumption of our production supply chain, supporting and encouraging our partners to reduce their consumption and transition toward renewable energy sources with lower environmental impact.

- Preserving manufacturing traditions—the same ones that allow Rifò to present itself as an innovative project while staying rooted in its territory, its technologies, and its customs—is a core part of our business. Rifò is committed to keeping alive the profession of the "cenciaioli" of Prato, a manual method of yarn regeneration that does not require the use of chemicals.

  Our contribution to this tradition took shape in the "Nei nostri panni" project, initiated and funded by Rifò with the support of the *Fondazione Opera Santa Rita*. This is a social impact project aimed at transforming a situation of vulnerability into an opportunity, combining the preservation of Prato's tradition with a chance for social redemption for people living in fragile contexts, with the creation by 2027 of a social cooperative for work in the textile sector.

Our Key Objectives

Selection and sourcing of regenerated textile fibers. We aim to increase the use of regenerated fibers in our productions. To support this goal, we have established a Key Performance Indicator (KPI) to track the percentage of regenerated fibers out of the total fiber use in our production.

Collection and redistribution of used clothing, primarily from a reuse perspective, but also with the aim of incorporating unusable garments into our regeneration chain, so they can be turned back into fiber and, eventually, into new garments—supporting the logic of a circular economy.

In this case, the defined KPI tracks the percentage of second raw material directly collected through Rifò's circular services, such as Re-Think Your Jeans and the 100% wool or cashmere sweater collection service.

Creating job opportunities for vulnerable people and asylum seekers in Italy, through the development and funding of internships and vocational training courses aimed at future employment in textile production facilities in Prato. The relevant KPI is the number of jobs created with Rifò's support.

Fulfilling our commitment to equal opportunities, with the goal of increasing the presence of women on the Rifò team to reach 90% of employees by 2025.

Involving a larger number of artisan companies from the Prato industrial district, with the goal of ensuring that even large-scale productions are carried out within a 30 km radius.

Impact KPI	Unit	2024	RESULT 2024	2025	Action plan
Percentage of recycled textile fibers used in production	%	77	79	76	- Research and select materials with at least 50% recycled content every time a new collection is developed - Annually confirm the products with the best economic and environmental performance
Percentage of post-consumer recycled wool, cashmere and denim fibers collected through our take-back service	%	15	23	15	- Expand the project to new partners by defining a strategy for expanding and internationalizing circular services - Gradually expand collection to new materials
Total number of job opportunities created for people in vulnerable conditions	n°	15	24	20	- Annually identify and select at least 5 new potential individuals in vulnerable conditions to be involved in the project in collaboration with the local migration office - Raise awareness among local companies on the topic and inform them about the project to encourage participation
Gender balance in leadership positions (Board and Executives)	%	50	55	50	- Avoid any discrimination against female workers during selection and career advancement - Eliminate any rules or practices, including seemingly neutral organizational setups, that may place women at a disadvantage in terms of participating in business decisions or career opportunitiesi
Percentage of production costs associated with production carried out by local suppliers	%	80	90	80	-Identify new artisan businesses in the local area to expand the sector knowledge network - Expand product categories and production volumes to be distributed among various artisan companies

Final Note

Through this Sustainability Policy, Rifò aims to demonstrate its genuine and concrete commitment to promoting a responsible and sustainable approach in the fashion sector.

As a pioneer in the field of circular economy and with a strong focus on preserving local manufacturing traditions, the company sets clear priorities and objectives aligned with the core values of Sustainability, Quality, and Responsibility, while maintaining an innovative position in the sector.

Looking ahead, the action plans outlined by Rifò in this document show a clear determination to pursue continuous and progressive improvement, to become a point of reference for other industry players, capable of rallying and guiding collective efforts toward shared success.

Aware of the importance of collaboration, Rifò is committed to further promoting an ethical, sustainable, and socially responsible fashion model, making itself available to take a leading role in this movement.